## Consolidated Balance Sheets

| (In thousands of Canadian dollars) (Unaudited) | As at June 30, 2011 | As at June 30, 2010 | As at December 31, 2010 |
|---|---|---|---|
| ASSETS | | | |
| **Current assets** | | | |
| Cash and cash equivalents | $ 20,671 | $ 88,875 | $ 84,401 |
| Accounts receivable (Note 4) | 66,896 | 138,132 | 29,773 |
| Due from Maple Leaf Foods Inc. | — | 978 | — |
| Note receivable (Note 4) | 68,814 | — | 59,159 |
| Inventories | 53,037 | 57,790 | 55,477 |
| Prepaid expenses and other assets | 7,937 | 5,323 | 4,516 |
| Income and other taxes recoverable | 7,066 | — | — |
| | $ 224,421 | $ 291,098 | $ 233,326 |
| Property and equipment | 401,387 | 377,775 | 387,603 |
| Investment property | 8,389 | 3,991 | 3,743 |
| Employee benefits (Note 6) | 744 | 690 | — |
| Other long-term assets | 1,002 | 1,337 | 828 |
| Deferred tax asset | 12,654 | 8,171 | 9,543 |
| Goodwill (Note 5) | 261,590 | 269,698 | 264,276 |
| Other intangible assets | 13,335 | 15,482 | 13,626 |
| Total assets | $ 923,522 | $ 968,242 | $ 912,945 |
| LIABILITIES AND SHAREHOLDERS' EQUITY | | | |
| **Current liabilities** | | | |
| Bank indebtedness | $ — | $ 8,071 | $ 7,777 |
| Accounts payable and accruals | 183,275 | 247,966 | 171,742 |
| Provisions (Note 8) | 22,885 | 2,912 | 13,068 |
| Due to Maple Leaf Foods Inc. | 3,347 | — | 5,336 |
| Dividends payable | 5,083 | 1,525 | 1,525 |
| Income and other taxes payable | — | 10,022 | 3,248 |
| Current portion of long-term debt | 2,323 | — | 2,332 |
| | $ 216,913 | $ 270,496 | $ 205,028 |
| Long-term debt | 1,675 | 2,420 | 1,629 |
| Deferred tax liability | 22,895 | 29,110 | 24,188 |
| Employee benefits (Note 6) | 36,232 | 29,010 | 37,491 |
| Other long-term liabilities | 6,480 | 6,769 | 6,240 |
| Total liabilities | $ 284,195 | $ 337,805 | $ 274,576 |
| **Shareholders' equity** | | | |
| Share capital | $ 142,965 | $ 142,965 | $ 142,965 |
| Retained earnings | 525,644 | 493,211 | 518,315 |
| Accumulated other comprehensive loss | (29,282) | (5,739) | (22,911) |
| Total shareholders' equity | $ 639,327 | $ 630,437 | $ 638,369 |
| Total liabilities and shareholders' equity | $ 923,522 | $ 968,242 | $ 912,945 |

*See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements.*

## Consolidated Statements of Earnings

| (In thousands of Canadian dollars, except share amounts) (Unaudited) | Three months ended June 30, 2011 | Three months ended June 30, 2010 | Six months ended June 30, 2011 | Six months ended June 30, 2010 |
|---|---|---|---|---|
| Sales | **$ 406,245** | $ 402,062 | **$ 778,005** | $ 783,994 |
| Cost of goods sold | **321,798** | 317,065 | **621,215** | 623,893 |
| Gross margin | **$ 84,447** | $ 84,997 | **$ 156,790** | $ 160,101 |
| Selling, general and administrative expenses | **49,344** | 54,286 | **104,963** | 108,742 |
| Earnings from operations before the following: | **$ 35,103** | $ 30,711 | **$ 51,827** | $ 51,359 |
| Restructuring and other related costs (Note 8) | **(12,547)** | (805) | **(32,597)** | (2,509) |
| Other income (Note 10) | **—** | 55 | **78** | 127 |
| Earnings from operations before interest and income taxes | **$ 22,556** | $ 29,961 | **$ 19,308** | $ 48,977 |
| Interest expense (Note 11) | **264** | 875 | **603** | 1,856 |
| Earnings from operations before income taxes | **$ 22,292** | $ 29,086 | **$ 18,705** | $ 47,121 |
| Income taxes | **7,388** | 8,137 | **4,767** | 13,203 |
| Net earnings | **$ 14,904** | $ 20,949 | **$ 13,938** | $ 33,918 |
| Earnings per share attributable to common shareholders | | | | |
| Basic and diluted earnings per share | **$ 0.59** | $ 0.82 | **$ 0.55** | $ 1.34 |
| Weighted average number of shares (millions) | **25.4** | 25.4 | **25.4** | 25.4 |

*See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements.*

## Consolidated Statements of Comprehensive Income

| (In thousands of Canadian dollars) (Unaudited) | Three months ended June 30, 2011 | Three months ended June 30, 2010 | Six months ended June 30, 2011 | Six months ended June 30, 2010 |
|---|---|---|---|---|
| Net earnings | **$ 14,904** | $ 20,949 | **$ 13,938** | $ 33,918 |
| Other comprehensive income (loss) (Note 9) | | | | |
| Change in accumulated foreign currency translation adjustment | **(26)** | 11,202 | **(5,516)** | (1,487) |
| Change in unrealized loss on cash flow hedges | **250** | 1,533 | **(855)** | 1,382 |
| | **$ 224** | $ 12,735 | **$ (6,371)** | $ (105) |
| Comprehensive income | **$ 15,128** | $ 33,684 | **$ 7,567** | $ 33,813 |

*See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements.*

## Consolidated Statements of Changes in Shareholders' Equity

| (In thousands of Canadian dollars) (Unaudited) | Share Capital | Retained Earnings | Total Accumulated Other Comprehensive Loss | Total Shareholders' Equity |
|---|---|---|---|---|
| **Balance at January 1, 2010** | $ 142,965 | $ 462,343 | $ (5,634) | $ 599,674 |
| Net earnings | — | 33,918 | — | 33,918 |
| Other comprehensive loss | — | — | (105) | (105) |
| Dividends declared ($0.12 per share) | — | (3,050) | — | (3,050) |
| **Balance at June 30, 2010** | **$ 142,965** | **$ 493,211** | **$ (5,739)** | **$ 630,437** |

| (In thousands of Canadian dollars) (Unaudited) | Share Capital | Retained Earnings | Total Accumulated Other Comprehensive Loss | Total Shareholders' Equity |
|---|---|---|---|---|
| **Balance at January 1, 2011** | $ 142,965 | $ 518,315 | $ (22,911) | $ 638,369 |
| Net earnings | — | 13,938 | — | 13,938 |
| Other comprehensive loss | — | — | (6,371) | (6,371) |
| Dividends declared ($0.26 per share) | — | (6,609) | — | (6,609) |
| **Balance at June 30, 2011** | **$ 142,965** | **$ 525,644** | **$ (29,282)** | **$ 639,327** |

*See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements.*

## Consolidated Statements of Cash Flows

| (In thousands of Canadian dollars) (Unaudited) | Three months ended June 30, 2011 | Three months ended June 30, 2010 | Six months ended June 30, 2011 | Six months ended June 30, 2010 |
|---|---|---|---|---|
| CASH PROVIDED BY (USED IN): | | | | |
| **Operating activities** | | | | |
| Net earnings | **$ 14,904** | $ 20,949 | **$ 13,938** | $ 33,918 |
| Add (deduct) items not affecting cash: | | | | |
| Depreciation and amortization | **11,407** | 12,400 | **23,614** | 25,112 |
| Deferred income taxes | **(480)** | 199 | **(4,058)** | (1,757) |
| Income tax current | **7,870** | 8,975 | **8,429** | 14,960 |
| Interest expense | **264** | 875 | **603** | 1,856 |
| Loss (gain) on sale of property and equipment | **(4)** | 5 | **1** | (47) |
| Asset impairments and change in provision for restructuring and other related costs | **7,814** | (725) | **26,200** | 347 |
| Income taxes paid | **(7,582)** | (5,800) | **(17,400)** | (17,847) |
| Interest paid | **(81)** | (316) | **(358)** | (722) |
| Other | **(2,127)** | (811) | **(2,588)** | (909) |
| Change in non-cash operating working capital | **(27,122)** | (1,115) | **(42,653)** | (2,837) |
| Cash provided by operating activities | **$ 4,863** | $ 34,636 | **$ 5,728** | $ 52,074 |
| **Financing activities** | | | | |
| Dividends paid | **$ (1,525)** | $ (1,525) | **$ (3,050)** | $ (3,050) |
| Net increase (decrease) in long-term debt | **—** | 109 | **—** | (127) |
| Cash used in financing activities | **$ (1,525)** | $ (1,416) | **$ (3,050)** | $ (3,177) |
| **Investing activities** | | | | |
| Additions to property and equipment | **$ (34,071)** | $ (14,554) | **$ (63,628)** | $ (22,110) |
| Capitalization of interest expense to property and equipment | **(5)** | (29) | **(119)** | (32) |
| Proceeds from sale of property and equipment | **403** | — | **5,442** | 685 |
| Change in intangible assets | **(841)** | — | **(326)** | — |
| Other | **—** | (137) | **—** | (87) |
| Cash used in investing activities | **$ (34,514)** | $ (14,720) | **$ (58,631)** | $ (21,544) |
| **Increase (decrease) in cash and cash equivalents** | **$ (31,176)** | $ 18,500 | **$ (55,953)** | $ 27,353 |
| Net cash and cash equivalents, beginning of period | **51,847** | 62,304 | **76,624** | 53,451 |
| Net cash and cash equivalents, end of period | **$ 20,671** | $ 80,804 | **$ 20,671** | $ 80,804 |
| Net cash and cash equivalents is comprised of: | | | | |
| Cash and cash equivalents | **$ 20,671** | $ 88,875 | **$ 20,671** | $ 88,875 |
| Bank indebtedness | **—** | (8,071) | **—** | (8,071) |
| Net cash and cash equivalents, end of period | **$ 20,671** | $ 80,804 | **$ 20,671** | $ 80,804 |

*See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements.*

## 1. The Company

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the baking industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. The address of the Company's registered office is 10 Four Seasons Place, Etobicoke, Ontario, M9B 6H7 Canada. The condensed consolidated interim financial statements of the Company as at and for the three and six months ended June 30, 2011 include the accounts of the Company and its subsidiaries. Canada Bread is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at June 30, 2011.

## 2. Basis of Preparation

### (a) Statement of compliance

The unaudited condensed consolidated interim financial statements (or "consolidated financial statements") have been prepared in accordance with International Accounting Standard ("IAS") 34 *Interim Financial Reporting* as issued by the International Accounting Standards Board ("IASB"). The consolidated financial statements should be read in conjunction with the Company's 2010 annual audited consolidated financial statements and first quarter 2011 unaudited condensed consolidated interim financial statements. An explanation of how the transition from Canadian generally accepted accounting principles ("CGAAP") to International Financial Reporting Standards ("IFRS") as at January 1, 2010 ("transition date") has affected the reported financial position, financial performance and cash flows of the Company, including the mandatory exceptions and optional exemptions under IFRS 1, is provided in Note 13 of the first quarter report to shareholders for the three months ended March 31, 2011.

The consolidated financial statements were authorized for issue by the Board of Directors on July 27, 2011.

### (b) Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis except for certain financial instruments, which are stated at fair value.

### (c) Functional and presentation currency

The consolidated financial statements are presented in Canadian dollars, which is the Company's functional currency.

### (d) Use of estimates and judgments

The preparation of consolidated financial statements in accordance with IFRS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual amounts may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are included in the following notes:

*Goodwill and Intangible Assets Valuation*

The values associated with other intangible assets and goodwill involve significant estimates and assumptions, including those with respect to future cash inflows and outflows, discount rates and asset lives. These estimates and assumptions could affect the Company's future results if the current estimates of future performance and fair values change. These determinations will affect the amount of amortization expense on definite life intangible assets recognized in future periods.

The Company assesses impairment by comparing the recoverable amount of an intangible asset or goodwill with its carrying value. The recoverable amount is defined as the higher of value in use, or fair value less cost to sell. The determination of the recoverable amount involves management judgment.

*Allowance for Bad Debts*

The Company establishes an appropriate provision for uncollectible or doubtful accounts. Estimates of recoverable amounts are based on management's best estimate of a customer's ability to settle its obligations, and actual amounts received may be affected by various factors, including industry conditions and changes in individual customer financial conditions. To the extent that actual losses on uncollectible accounts differ from those estimated in the Company's provision, both accounts receivable and net earnings will be affected.

*Provisions for Inventory*
Management makes estimates of the future customer demand for our products when establishing appropriate provisions for inventory. In making these estimates, management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory on-hand values are lower, thus reducing the risk of material misstatement. Management ensures that systems are in place to highlight and properly value inventory that may be approaching best before code, or "best before" dates. To the extent that actual losses on inventory differ from those estimated, both inventory and net earnings will be affected.

*Trade Merchandise Allowances and Other Trade Discounts*
The Company provides for estimated payments to customers based on various trade programs and contracts that often include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of sales volume for the relevant period and the historical promotional expenditure rate compared to contracted rates. These arrangements are complex and there are a significant number of customers and products affected. Management has systems and processes in place to estimate and value these contingent obligations. To the extent that payments on trade discounts differ from estimates of the related liability, both accrued liabilities and net earnings will be affected.

*Employee Benefit Plans*
The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees, mortality rates and expected heath care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities. Management employs external experts to advise the Company when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses.

*Income Taxes*
Provisions for income taxes are based on domestic and international statutory income tax rates and tax planning opportunities available to the Company in the jurisdictions in which it operates. Significant judgment is required in determining income tax provisions and the recoverability of deferred tax assets. The calculation of current and deferred income tax balances requires management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite management's opinion that tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances.

*Reserves for Restructuring and Other Related Costs*
The Company evaluates accruals related to restructuring and other related costs at each reporting date to ensure these accruals are still appropriate. As the Company has been involved in a significant amount of transformation and restructuring of businesses and assets in the past several years, these provisions and accruals can be significant and are prepared using estimates of the costs of future activities. In certain instances, management may determine that these accruals are no longer required because of efficiencies in carrying out restructuring and other related activities. In certain circumstances, management may determine that certain accruals are insufficient as new events occur or as additional information is obtained. These provisions are separately identified and disclosed in the Company's consolidated financial statements.

*Depreciation and Amortization*
The Company's property and equipment and definite life intangible assets are depreciated and amortized on a straight-line basis, taking into account the expected useful lives of the assets and residual values. Changes to these estimates may affect both the carrying value of these assets and net earnings.

## 3. Significant Accounting Policies
The consolidated financial statements should be read in conjunction with the Company's 2010 annual consolidated financial statements and first quarter 2011 unaudited condensed consolidated interim financial statements. These consolidated financial statements have been prepared in accordance with IFRS using the same accounting policies as were applied in the first quarter 2011 financial statements.

### Accounting Standards Not Yet Adopted
*Financial Instruments – Recognition and Measurement*
In October 2010 the IASB published amendments to IFRS 9 (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2013, with early adoption permitted. For annual periods beginning before January 1, 2013, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

*Financial Instruments – Disclosures*
In October 2010, the IASB issued amendments to IFRS 7 *Disclosures – Transfers of Financial Assets.* These amendments require disclosure of information that enables users of financial statements to understand the relationship between transferred financial assets that are not derecognized in their entirety and the associated liabilities; and to evaluate the nature of, and risks associated with, the Company's continuing involvement in derecognized financial assets. These amendments are effective for annual periods beginning on or after January 1, 2012 and therefore the Company will apply these amendments in the first quarter of 2012. The Company is currently assessing the impact of these amendments on its financial statements.

*Consolidated Financial Statements*
In May 2011, the IASB issued IFRS 10 *Consolidated Financial Statements*, which is effective for annual periods beginning on or after January 1, 2013, with early adoption permitted. IFRS 10 provides a single model to be applied in the control analysis for all investees. The Company intends to adopt IFRS 10 in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 10 has not yet been determined.

*Disclosure of Interests in Other Entities*
In May 2011, the IASB issued IFRS 12 *Disclosure of Interest in Other Entities*, which is effective for annual periods beginning on or after January 1, 2013, with early adoption permitted. IFRS 12 contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities. The Company intends to adopt IFRS 12 in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 12 has not yet been determined.

*Fair Value Measurement*
In May 2011, the IASB published IFRS 13 *Fair Value Measurement*, which is effective prospectively for annual periods beginning on or after January 1, 2013. IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The Company intends to adopt IFRS 13 prospectively in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 13 has not yet been determined.

*Presentation of Financial Statements*
In June 2011, the IASB published amendments to IAS 1 *Presentation of Financial Statements: Presentation of Items of Other Comprehensive Income*, which are effective for annual periods beginning on or after July 1, 2012 and are to be applied retrospectively. Early adoption is permitted. The amendments require that a company present separately the items of Other Comprehensive Income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The Company intends to adopt the amendments in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of the amendments has not yet been determined.

*Employee Benefits*
In June 2011, the IASB published an amended version of IAS 19 *Employee Benefits.* Adoption of the amendment is required for annual periods beginning on or after January 1, 2013, with early adoption permitted. The amendment is generally applied retrospectively with certain exceptions. The amendment will require actuarial gains and losses to be recognized immediately in other comprehensive income, past service costs to be fully recognized immediately in profit or loss and the recognition of expected return on plan assets in profit or loss to be calculated based on the rate used to discount the defined benefit obligation. The amendment also requires other additional disclosures. The Company intends to adopt the amendment in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of the amendment has not yet been determined.

## 4. Accounts Receivable

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to an entity owned by a financial institution. The Company retains servicing responsibilities and retains a limited recourse obligation for delinquent receivables. At June 30, 2011, trade accounts receivable being serviced under this program amounted to $110.9 million (June 30, 2010: $68.1 million; December 31, 2010: $105.2 million). In return for the sale of its trade receivables, the Company received cash of $42.1 million (June 30, 2010: $68.1 million; December 31, 2010: $46.0 million) and notes receivable in the amount of $68.8 million (June 30, 2010: $nil; December 31, 2010: $59.2 million). The notes receivable are non-interest bearing and are due on the monthly accounts receivable settlement dates.

The Company recognized the assets serviced under this program in the consolidated balance sheets as a secured financing transaction, with a corresponding liability recorded in accounts payable and accruals as at June 30, 2010. In October 2010, the Company finalized a new trade accounts receivable securitization agreement that requires the sale of trade accounts receivable to be treated as a sale from an accounting perspective and as a result, trade accounts receivable balances sold under this program are derecognized in the consolidated balance sheets as at December 31, 2010 and June 30, 2011.

Components of accounts receivable are as follows:

| | June 30, 2011 | June 30, 2010 | December 31, 2010 |
|---|---|---|---|
| Trade receivables | **$ 50,657** | $ 129,513 | $ 16,397 |
| Less: Allowance for doubtful accounts | **(2,464)** | (1,898) | (2,120) |
| Net trade receivables | **48,193** | 127,615 | 14,277 |
| Other receivables | **18,703** | 10,517 | 15,496 |
| | **$ 66,896** | $ 138,132 | $ 29,773 |

The aging of trade receivables is as follows:

| | June 30, 2011 | June 30, 2010 | December 31, 2010 |
|---|---|---|---|
| Current | **$ 25,249** | $ 116,275 | $ 2,286 |
| Past due 0–30 days | **16,258** | 9,127 | 8,834 |
| Past due 31–60 days | **2,450** | 2,087 | 1,992 |
| Past due 61–90 days | **2,656** | 434 | 1,044 |
| Past due > 90 days | **4,044** | 1,590 | 2,241 |
| | **$ 50,657** | $ 129,513 | $ 16,397 |

The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections.

## 5. Goodwill

| | 2011 | 2010 |
|---|---|---|
| **Cost** | | |
| Balance January 1 | **$ 375,894** | $ 386,807 |
| Adjustment to previous acquisitions | **—** | 1,066 |
| Foreign currency translation | **(3,035)** | (3,494) |
| Balance June 30 | **$ 372,859** | $ 384,379 |
| **Impairment losses** | | |
| Balance January 1 | **$ (111,618)** | $ (119,078) |
| Foreign currency translations | **349** | 4,397 |
| Balance June 30 | **$ (111,269)** | $ (114,681) |
| **Carrying amounts** | | |
| June 30 | **$ 261,590** | $ 269,698 |

For the purposes of annual impairment testing, goodwill is allocated to the following groups of Cash Generating Units ("CGUs"), being the groups expected to benefit from the synergies of the business combinations in which the goodwill arose.

| | June 30, 2011 | June 30, 2010 | December 31, 2010 |
|---|---|---|---|
| **CGU Group** | | | |
| Canadian fresh bakery | **$ 123,867** | $ 123,867 | $ 123,867 |
| North American frozen bakery | **135,698** | 143,806 | 138,384 |
| Fresh pasta | **2,025** | 2,025 | 2,025 |
| | **$ 261,590** | $ 269,698 | $ 264,276 |

The key assumptions used in the calculation of the recoverable amount as at October 1, 2010, were as follows for the significant CGU groups:

| | Discount Rate | Growth Rate |
|---|---|---|
| Canadian fresh bakery | 10.7% | 2.6% |
| North American frozen bakery | 11.5% | 2.8% |
| Fresh pasta | 10.4% | 2.6% |

## 6. Employee Benefits

During the quarter, the Company recorded $2.4 million related to net benefit plan expense including post-retirement benefit costs (2010: $3.5 million). For the first six months of 2011, the Company recorded $5.8 million in net benefit plan expense including post-retirement benefit costs (2010: $6.8 million).

## 7. Financial Instruments and Risk Management Activities

The Company is exposed to credit risk, liquidity risk and market risks that include interest rate risk, foreign exchange risk and commodity price risk. The Company has policies for managing these risks that are aligned with its overall objective to maintain a simple and cost-effective capital structure that supports a long-term growth strategy and maximizes operating flexibility. There have been no material changes to the Company's risk and risk management activities since December 31, 2010.

The Company applies hedge accounting and uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in foreign exchange rates and commodity prices.

The fair values and notional amounts of derivative financial instruments at June 30 are shown below:

| | 2011 | | | 2010 | | |
|---|---|---|---|---|---|---|
| | Notional | Fair Value | | Notional | Fair Value | |
| | Amount [i] | Asset | Liability | Amount [i] | Asset | Liability |
| **Cash flow hedges** | | | | | | |
| Foreign exchange forward contracts | **$ 48,452** | **$ —** | **$ 913** | $ 14,032 | $ 498 | $ — |
| **Derivatives not designated in a formal hedging relationship** | | | | | | |
| Foreign exchange forward contracts [ii] | **$ 39,397** | **$ —** | **$ 259** | $ 22,049 | $ 907 | $ — |
| Commodity futures contracts | **13,423** | **323** | — | — | — | — |
| **Total** | | **$ 323** | **$ 1,172** | | $ 1,405 | $ — |
| Current | | **$ 323** | **$ 913** | | $ 498 | $ — |
| Non-current | | **—** | **259** | | 907 | — |
| **Total** | | **$ 323** | **$ 1,172** | | $ 1,405 | $ — |

(i) *Notional amounts are stated at the contractual Canadian dollar equivalent.*
(ii) *2011 related party foreign exchange contracts with Maple Leaf Foods Inc.*

The carrying value of long-term debt as at June 30, 2011 was $4.0 million (June 30, 2010: $2.4 million; December 31, 2010: $4.0 million), which approximates fair value.

During the three and six months ended June 30, 2011, the Company recorded a gain of $0.3 million net of taxes (2010: $0.7 million) on financial instruments held for trading. Net gains (losses) on financial instruments held for trading consist of realized and unrealized gains (losses) on derivatives that were de-designated or were otherwise not in a formal hedging relationship.

For the three and six months ended June 30, 2011 and 2010, the amount of hedge ineffectiveness recognized in net earnings was not material.

**Fair Value Hierarchy**

Assets and liabilities carried at fair value must be classified using a three-level hierarchy that reflects the significance and transparency of the inputs used in making the fair value measurements.

The table below sets out fair value measurements of financial instruments using the fair value hierarchy:

| | Level 1 | Level 2 | Level 3 | Total |
|---|---|---|---|---|
| Assets: | | | | |
| Commodity futures contracts | $ 323 | $ — | $ — | $ 323 |
| | **$ 323** | **$ —** | **$ —** | **$ 323** |
| Liabilities: | | | | |
| Foreign exchange forward contracts | — | 1,172 | — | 1,172 |
| | **$ —** | **$ 1,172** | **$ —** | **$ 1,172** |

There were no transfers between levels during the quarter ended June 30, 2011.

**Financial Instruments**

The Company's financial assets and liabilities are classified into the following categories:

| | |
|---|---|
| Cash and cash equivalents | Held for trading |
| Accounts receivable | Loans and receivables |
| Note receivable | Loans and receivables |
| Bank indebtedness | Other financial liabilities |
| Accounts payable and accruals | Other financial liabilities |
| Due to Maple Leaf Foods Inc. | Other financial liabilities |
| Long-term debt | Other financial liabilities |
| Derivative instruments | Held for trading |

The fair values of financial assets and liabilities classified as loans and receivables and other financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature.

## 8. Restructuring and Other Related Costs

During the six months ended June 30, 2011, the Company recorded restructuring and other related costs of $32.6 million ($24.9 million after tax).

Of this amount, $12.5 million ($9.7 million after tax) was recorded in the second quarter. This included $4.6 million in asset write-downs, $3.5 million in lease cancellation costs, and $2.7 million in severance costs related to the sale of, or planned or completed bakery closures in the U.K., and a transition from Company-owned routes to franchisee routes in Atlantic Canada. The balance of charges relate to ongoing costs incurred in connection with previously announced restructuring initiatives.

During the first quarter of 2011, the Company recorded restructuring and other related costs of $20.1 million ($15.1 million after tax). Of this $11.2 million related to asset write-downs and $2.9 million in severances related to the sale of, or planned or completed plant closures in Laval, Quebec, Delta, British Columbia and Cumbria, U.K. and the sale of the sandwich product line. The Company also recorded $5.8 million in severance costs for initiatives across the Company related to changes in management structure and related head count reductions. The balance of charges relate to ongoing costs incurred in connection with previously announced restructuring initiatives.

During the six months ended June 30, 2010, the Company recorded restructuring and other related costs of $2.5 million ($1.9 million after tax).

Of this amount, $0.8 million ($0.6 million after tax) was recorded in the second quarter. These costs related primarily to the restructuring of the specialty baked goods production process in the United Kingdom and accelerated depreciation associated with the announced consolidation and closure of three Greater Toronto Area bakeries in the Company's fresh bakery business.

During the first quarter of 2010, the Company recorded restructuring and other related costs of $1.7 million ($1.3 million after tax). These costs related primarily to pension costs and accelerated depreciation associated with the announced consolidation and closure of three Greater Toronto Area bakeries in the fresh bakery business. The balance of the charges related primarily to severances in the United Kingdom resulting from restructuring in the Company's specialty baked goods production process.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at June 30, 2011, all on a pre-tax basis:

| | Severance | Site Closing | Asset Impairment and Accelerated Depreciation | Retention | Total |
|---|---|---|---|---|---|
| **Balance at January 1, 2011** | $ 11,228 | $ 1,456 | $ — | $ 384 | $ 13,068 |
| Charges | 8,701 | 49 | 11,138 | 162 | 20,050 |
| Cash payments | (1,652) | (12) | — | — | (1,664) |
| Non-cash items | — | — | (11,138) | — | (11,138) |
| **Balance at March 31, 2011** | $ 18,277 | $ 1,493 | $ — | $ 546 | $ 20,316 |
| Charges | **3,318** | **3,582** | **5,245** | **402** | **12,547** |
| Cash payments | **(4,004)** | **(729)** | **—** | **—** | **(4,733)** |
| Non-cash items | **—** | **—** | **(5,245)** | **—** | **(5,245)** |
| **Balance at June 30, 2011** | **$ 17,591** | **$ 4,346** | **$ —** | **$ 948** | **$ 22,885** |

## 9. Accumulated Other Comprehensive Loss

| | Foreign Currency Translation Adjustments | Unrealized Gain (Loss) on Cash Flow Hedges | Change in Actuarial Gains and Losses | Total Accumulated Other Comprehensive Loss |
|---|---|---|---|---|
| **Balance at January 1, 2010** | $ — | $ (5,634) | $ — | $ (5,634) |
| Other comprehensive loss | (12,689) | (151) | — | (12,840) |
| **Balance at March 31, 2010** | $ (12,689) | (5,785) | — | (18,474) |
| Other comprehensive gain | 11,202 | 1,533 | — | 12,735 |
| **Balance at June 30, 2010** | $ (1,487) | $ (4,252) | $ — | $ (5,739) |

| | Foreign Currency Translation Adjustments | Unrealized Gain (Loss) on Cash Flow Hedges | Change in Actuarial Gains and Losses | Total Accumulated Other Comprehensive Loss |
|---|---|---|---|---|
| **Balance at January 1, 2011** | **$ (14,050)** | **$ (46)** | **$ (8,815)** | **$ (22,911)** |
| Other comprehensive loss | **(5,490)** | **(1,105)** | **—** | **(6,595)** |
| **Balance at March 31, 2011** | **$ (19,540)** | **(1,151)** | **(8,815)** | **(29,506)** |
| Other comprehensive (loss) gain | **(26)** | **250** | **—** | **224** |
| **Balance at June 30, 2011** | **$ (19,566)** | **$ (901)** | **$ (8,815)** | **$ (29,282)** |

The change in accumulated foreign currency translation adjustments is net of tax of $nil for the three months ended June 30, 2011 (2010: $nil). The change in accumulated foreign currency translation adjustments is net of tax of $nil for the six months ended June 30, 2011 (2010: $nil).

The change in unrealized gain on cash flow hedges is net of tax of $0.1 million for the three months ended June 30, 2011 (2010: $0.4 million). The change in unrealized loss on cash flow hedges is net of tax of $0.3 million for the six months ended June 30, 2011 (2010: gain of $0.3 million).

The Company estimates that $0.9 million of the unrealized loss included in accumulated other comprehensive loss will be reclassified into net earnings within the next twelve months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the three months ended June 30, 2011, $0.6 million net of tax was released to income from accumulated other comprehensive loss and is included in the net change for the period. During the six months ended June 30, 2011, $0.6 million net of tax was released to income from accumulated other comprehensive loss and is included in the net change for the period.

## 10. Other Income

| | Three months ended June 30, | | Six months ended June 30, | |
|---|---|---|---|---|
| | **2011** | 2010 | **2011** | 2010 |
| (Loss) gain on sale of property and equipment | **$ 4** | $ (5) | **$ (1)** | $ 47 |
| Other | **(4)** | 60 | **79** | 80 |
| | **$ —** | $ 55 | **$ 78** | $ 127 |

## 11. Interest Expense

| | Three months ended June 30, | | Six months ended June 30, | |
|---|---|---|---|---|
| | **2011** | 2010 | **2011** | 2010 |
| Interest expense on securitized receivables | **$ 292** | $ 314 | **$ 579** | $ 634 |
| Deferred finance charge | **56** | — | **111** | — |
| Interest expense on long-term debt | **5** | 51 | **119** | 97 |
| Amortization of terminated interest rate swaps | **—** | 598 | **—** | 1,257 |
| Other interest income | **(84)** | (59) | **(87)** | (100) |
| Interest capitalized | **(5)** | (29) | **(119)** | (32) |
| | **$ 264** | $ 875 | **$ 603** | $ 1,856 |

## 12. Segmented Financial Information

**Reportable Segmented Information**

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all periods presented:

(a) Fresh Bakery comprises fresh bakery products; sweet goods; specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

| | Three months ended June 30, | | Six months ended June 30, | |
|---|---|---|---|---|
| | **2011** | 2010 | **2011** | 2010 |
| **Sales** | | | | |
| Fresh Bakery | **$ 282,364** | $ 282,530 | **$ 537,449** | $ 539,719 |
| Frozen Bakery | **123,881** | 119,532 | **240,556** | 244,275 |
| | **$ 406,245** | $ 402,062 | **$ 778,005** | $ 783,994 |
| **Earnings from operations before restructuring and other related costs and other income** | | | | |
| Fresh Bakery | **$ 33,211** | $ 27,754 | **$ 51,196** | $ 48,683 |
| Frozen Bakery | **1,892** | 2,957 | **631** | 2,676 |
| | **$ 35,103** | $ 30,711 | **$ 51,827** | $ 51,359 |
| **Capital expenditures** | | | | |
| Fresh Bakery | **$ 29,476** | $ 9,407 | **$ 55,633** | $ 13,491 |
| Frozen Bakery | **4,595** | 5,147 | **7,995** | 8,619 |
| | **$ 34,071** | $ 14,554 | **$ 63,628** | $ 22,110 |
| **Depreciation and amortization** | | | | |
| Fresh Bakery | **$ 6,434** | $ 6,496 | **$ 13,069** | $ 13,306 |
| Frozen Bakery | **4,973** | 5,904 | **10,545** | 11,806 |
| | **$ 11,407** | $ 12,400 | **$ 23,614** | $ 25,112 |

| | **June 30, 2011** | June 30, 2010 | December 31, 2010 |
|---|---|---|---|
| **Total assets** | | | |
| Fresh Bakery | **$ 518,930** | $ 473,408 | $ 437,976 |
| Frozen Bakery | **352,966** | 394,838 | 372,211 |
| Non-allocated assets | **51,626** | 99,996 | 102,758 |
| | **$ 923,522** | $ 968,242 | $ 912,945 |
| **Goodwill** | | | |
| Fresh Bakery | **$ 125,892** | $ 125,892 | $ 125,892 |
| Frozen Bakery | **135,698** | 143,806 | 138,384 |
| | **$ 261,590** | $ 269,698 | $ 264,276 |

### Information About Geographic Areas

Property, equipment and investment property located outside of Canada were $110.2 million (June 30, 2010: $129.9 million; December 31, 2010: $122.3 million). Of this amount $68.0 million (June 30, 2010: $76.3 million; December 31, 2010: $71.1 million) was located in the United States and $42.2 million (June 30, 2010: $53.6 million; December 31, 2010: $51.2 million) was located in the United Kingdom.

Goodwill attributed to operations located outside of Canada was $82.2 million (June 30, 2010: $90.3 million; December 31, 2010: $84.9 million), which is all attributed to operations in the United States.

### Information About Major Customers

During the six-month period, the Company reported sales to two customers each representing greater than 10%. Sales to one customer represented 18.1% (June 30, 2010: 17.9%) of total sales, while sales to the second customer represented 12.3% (June 30, 2010: 12.6%) of total sales. Sales to each customer are reported in both the Fresh Bakery and Frozen Bakery businesses.

During the three-month period, the Company reported sales to two customers each representing greater than 10%. Sales to one customer represented 18.5% (June 30, 2010: 18.3%) of total sales, while sales to the second customer represented 12.4% (June 30, 2010: 12.6%) of total sales. Sales to each customer are reported in both the Fresh Bakery and Frozen Bakery businesses.

## 13. Transition to International Financial Reporting Standards ("IFRS")

For the overall impact on the opening balance sheet as at January 1, 2010, including a discussion of the optional exemptions taken and the applicable mandatory exceptions, please refer to Note 13 in the first quarter report to shareholders for the three months ended March 31, 2011.

### Reconciliations of Canadian GAAP to IFRS

In preparing its opening IFRS consolidated financial statements, the Company has adjusted amounts reported previously in financial statements prepared in accordance with Canadian GAAP. An explanation of how the transition from Canadian GAAP to IFRS has affected the Company's financial position and financial performance is set out below.

*(i) Reconciliation of Shareholders' Equity as Reported Under Canadian GAAP to IFRS*

The following is a reconciliation of the Company's shareholders' equity reported in accordance with Canadian GAAP to its shareholders' equity in accordance with IFRS:

| | Note | June 30, 2010 | December 31, 2010 |
|---|---|---|---|
| Shareholders' equity under Canadian GAAP | | $ 772,948 | $ 785,846 |
| Differences increasing (decreasing) reported shareholders' equity: | | | |
| Property and equipment | **1** | (5,495) | (5,577) |
| Impairment of goodwill | **2** | (114,681) | (111,618) |
| Employee benefits | **3** | (31,713) | (39,836) |
| Capitalization of borrowing costs | **4** | 32 | 417 |
| Deferred income taxes | **5** | 9,346 | 9,137 |
| **Shareholders' equity under IFRS** | | **$ 630,437** | **$ 638,369** |

1. Property and Equipment

IFRS provides more specific guidance than Canadian GAAP on the capitalization and componentization of property and equipment. Specifically, IFRS requires that each part of an identifiable item of property and equipment with a cost that is significant in relation to the total cost of the item shall be capitalized and depreciated separately. As a result of this difference, the Company determined that certain assets must be separately capitalized components under IFRS. The retrospective application of this standard resulted in a decrease in shareholders' equity, being the cumulative incremental depreciation that would have been expensed in prior periods had these assets been separately identified and depreciated.

2. Impairment of Goodwill

Under IFRS, the Company measures a CGU's recoverable amount based on the higher of fair value less costs to sell and value in use, calculated using estimated future cash flows discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Under Canadian GAAP, impairment was evaluated using a two-step process whereby the recoverable amount was compared to the carrying value. If the recoverable amount was less than its carrying value, then the impairment loss was measured and recognized based on the fair value of the asset or asset group.

Goodwill was tested for impairment for each applicable CGU group as at January 1, 2010 and October 1, 2010 (the annual impairment testing date) by comparing the CGU group's carrying amount to its recoverable amount. The application of IFRS resulted in an impairment loss at transition of $119.1 million using future estimated cash flows over a period of five years, present valued based on a range of discount rates from 10.4% to 12.4%, with an ending terminal value determined using growth rates ranging from 2.6% to 2.8%. Future cash flows were based upon management forecasts and reflected management's best estimate at the time.

The impairment loss at transition was attributed to the U.K. Bakery ($88.9 million) and Sandwich products ($30.2 million).

3. Employee Benefits

The election to recognize all unrecognized cumulative actuarial gains and losses into opening retained earnings resulted in a decrease in total shareholders' equity at transition. In addition, unrecognized past service costs that were vested and the transition amount under Canadian GAAP were recognized in opening retained earnings, at the transition date. On an ongoing basis, the Company elected to recognize all actuarial gains and losses immediately in the consolidated statements of comprehensive income.

IFRS provides more specific guidance on the recognition of employee benefit assets and liabilities. Specifically, the recognition of the value of an over-funded employee benefit plan is limited to the amount of the surplus that is considered recoverable. In addition, a liability is recognized under IFRS for minimum funding obligations that the Company may have under an employee benefit plan. The application of this difference results in a decrease in shareholders' equity.

4. Capitalization of Borrowing Costs
This increase in shareholders' equity is the result of the Company's election to capitalize borrowing costs in respect of qualifying assets as of the transition date.

5. Deferred Income Taxes
The increase in shareholders' equity related to deferred taxes reflects the change in temporary differences resulting from the effect of the other transitional adjustments.

*(ii) Reconciliation of Net Earnings as Reported Under Canadian GAAP to IFRS*

| | Note | Three months ended June 30, 2010 | Six months ended June 30, 2010 |
|---|---|---|---|
| Net earnings under Canadian GAAP | | $ 20,686 | $ 33,413 |
| Differences increasing (decreasing) reported net earnings: | | | |
| Depreciation of asset components | **1** | (20) | (41) |
| Capitalization of borrowing costs | **2** | 29 | 32 |
| Employee benefits | **3** | 345 | 690 |
| Income taxes | **4** | (91) | (176) |
| **Net earnings under IFRS** | | **$ 20,949** | **$ 33,918** |

1. Depreciation of Asset Components
The adoption of IFRS resulted in separately capitalizing components of certain assets where the components were significant and had different useful lives than the previously recorded asset. The depreciation of these separate components resulted in a change in depreciation expense under IFRS compared to Canadian GAAP.

2. Capitalization of Borrowing Costs
Interest expense is reduced due to the capitalization of borrowing costs to qualifying assets.

3. Employee Benefits
Under IFRS, the Company elected to recognize all actuarial gains and losses related to the employee defined benefit plans in the consolidated statements of comprehensive income. This election has resulted in an increase of net earnings as actuarial gains and losses were previously recognized in net earnings under Canadian GAAP using the corridor method and amortization of vested past service costs and transitional amounts were also previously recognized in net earnings under Canadian GAAP.

4. Income Taxes
Deferred income taxes are impacted by the changes in temporary differences resulting from the effect of the IFRS reconciling items described above.

*(iii) Reconciliation of Comprehensive Income as Reported Under Canadian GAAP to IFRS*

| | Note | Three months ended June 30, 2010 | Six months ended June 30, 2010 |
|---|---|---|---|
| Comprehensive income (loss) under Canadian GAAP | | $ 37,192 | $ 28,911 |
| Differences increasing (decreasing) reported amount: | | | |
| Differences in net earnings | **1** | 263 | 505 |
| Impairment of goodwill | **2** | (3,771) | 4,397 |
| **Comprehensive income under IFRS** | | **$ 33,684** | **$ 33,813** |

1. Differences in Net Earnings
Reflects the differences in net earnings between Canadian GAAP and IFRS as described in the *Reconciliation of Net Earnings as Reported Under Canadian GAAP to IFRS.*

2. Impairment of Goodwill
Reflects the foreign currency translation of the foreign denominated component of the $119.1 million impairment loss recognized at transition.